

📍 CAPITAL CITY: NAIROBI

Key Facts



POPULATION
58 million (2026)



CURRENT GDP
US\$ 136 billion (2025)



LEADER
William Ruto



PRIMARY EXPORT
Tea & Coffee/Spices
US\$ 1.7 billion (2024)

CFC COUNTRY FACTSHEET: Kenya

Kenya is East Africa's largest and most diversified economy. Prior to the COVID-19 pandemic, Kenya was among the continent's fastest-growing economies, underpinned by a broad base spanning agriculture, manufacturing, financial services, and a thriving technology sector that has earned Nairobi the reputation of "Silicon Savannah."

The country has made meaningful progress toward middle-income status, though persistent structural challenges — including high youth unemployment, economic inequality, and corruption — continue to weigh on inclusive growth. In recent years, the Government of Kenya has pursued an active reform agenda to improve the business environment and attract foreign investment, supported by world-class renewable energy infrastructure and one of Africa's most advanced digital financial ecosystems.

For investors, Kenya offers a compelling combination of regional influence, a young entrepreneurial population, and significant untapped opportunity across agribusiness, healthcare, clean energy, and digital services.



INTERESTS & CURRENCY

EXCHANGE RATES

Monetary policy
Rate : 8,75%

Currency
Kenyan shilling (KSh/KES)

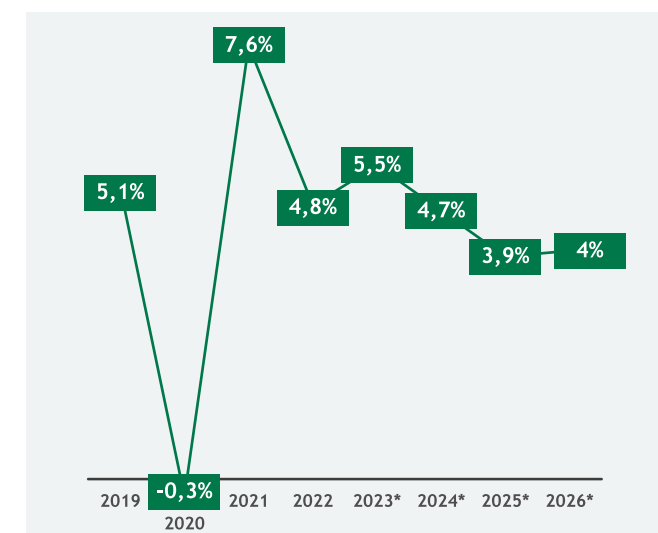
USD 1 = KES 129.3

EUR 1 = KES 151.1

Source : Central Bank of Kenya



GDP GROWTH



4.4% Inflation (Jan 2026)

5.4% Unemployment rate (2024)

1,9% Demographic growth (2026)

-1.3% Current account (2024)

US\$ 1.5 billion FDI (Net Inflows) (2023)

61 years Life expectancy (2023)

US\$ 2549 GDP per capita (2025)

83% Literacy Rate (2022)

Source : World Bank Data, IMF, Reuters

What are the most attractive industries ?

Here are some of the attractive industries in Kenya:

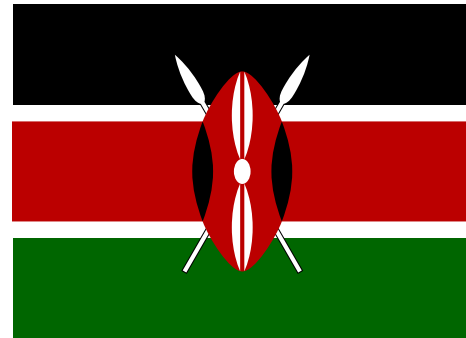
 **Agriculture:** Kenya has a thriving agricultural sector with opportunities in crop farming, livestock, and agribusiness. Tea, coffee and horticulture remain top foreign-exchange earners.

 **Tourism:** Kenya's rich biodiversity – national parks, game reserves and Indian Ocean coastline – attracted over 2 million visitors in 2024, generating US\$1.8+ billion.

 **Technology:** Nairobi's 'Silicon Savannah' is Africa's leading tech hub. M-Pesa and Kenya's fintech ecosystem are globally recognised.

 **Financial services:** A dynamic sector spanning banking, insurance, microfinance, fintech and mobile money. Nairobi is a key African financial centre.

 **Green Energy:** Kenya generates roughly 90% of electricity from renewables (geothermal, hydro, wind), attracting major climate-tech investment.



Kenya's International Membership

- East African Community **(EAC)**
- Common Market for Eastern and Southern Africa

(COMESA)

- African, Caribbean and Pacific **(ACP)**
- African Continental Free Trade Area **(AfCFTA)**
- World Trade Organization **(WTO)**
- Economic Partnership Agreements **(EPAs)**

Leading Companies in Kenya

1. Safaricom (Telecom)
2. Equity Bank Kenya (Banking)
3. KCB Group (Banking)
4. Absa Bank Kenya (Banking)
5. BAT Kenya (Consumer Goods)

What is the tax regime in Kenya?

Corporate income tax rate:

- The standard corporate tax rate is **30%**.
- Local motor vehicle assemblers / plastics recycling (first 5 yrs) **15%**.
- Branches of foreign companies **37.5%**.

Withholding tax (WHT):

Payments	Rate for Resident	Rate for Non Resident
Dividends	5%	15%
Interest ⁽¹⁾	10%/15%/25%	15%/20%/25%
Royalties	5%	20%

(1) There are different categories for WHT on interest paid to residents and non-residents. Interest received from financial institutions is subject to a 15% rate, while WHT on interest on bearer certificates is 25%, and that on interest from bearer bonds is 10%.

Personal income tax rate:

- Progressive rates up to **35%**, applies to both residents and non-residents.

Value Added Tax:

- Standard rate is **16%**.
- Zero-rated: export of goods and taxable services, specified imports.
- Exempt: financial services by banks, most agricultural produce.
- Petroleum products : **8%**.

As a foreigner, do I need a work permit ?

Every non-citizen must obtain a work permit from the Kenyan Immigration Department before working in Kenya. For employees, permit applications are submitted by the employer. Processing has been streamlined under Kenya's ongoing business reform agenda.

Tax treaties

Kenya has concluded tax treaties with the following jurisdictions

COUNTRY	DIVIDENDS	INTEREST	ROYALTIES
Canada ⁽¹⁾	15%/25%	15%	15%
Denmark ⁽²⁾	15%/20%/25%	20%	20%
France	10%	12%	10%
Germany	15%	15%	15%
India	10%	10%	10%
Iran	5%	10%	10%
Norway	15%/25%	20%	20%
Qatar	5%/10%	10%	10%
South Africa	10%	10%	10%
South Korea	8%/10%	12%	10%
Sweden	15%/25%	15%	20%
United Arab Emirates	5%	10%	10%
United Kingdom	0%/15%	0%/15%	15%

(1) Dividends are taxable in accordance with the law where the payer company is resident (i.e. 15% in Kenya), but may not exceed 20% or 30%. The 20% rate applies where dividends are paid to a company that owns at least 25% of the voting shares of the payer company for a six-month period immediately preceding the date the dividends are paid; otherwise, the rate is 30%.

(2) Dividends are taxable in accordance with the law where the payer company is resident (i.e. 15% in Kenya), but may not exceed 15% or 25%. The 15% rate applies where dividends are paid to a company that holds at least 10% of the voting shares of the payer company during the sixmonth period immediately before the date the dividends are paid; otherwise, the rate is 25%.

Investment incentives offered in Kenya

Tax Incentives

Export Processing Zones (EPZs)

For the first **10 years** from business commencement:

- EPZ is exempt from corporation tax (no commercial activities).
- Corporate tax of **25%** applies for the next **10 years**.
- Payments made by a local resident (a Kenyan company or person) to an EPZ entity are treated for tax purposes as if they are payments to a non-resident when it comes to WHT.
- Payments by EPZ to non-residents are exempt from tax.

Special Economic Zone (SEZ)

SEZ enterprises benefit from **10%** corporate tax for the first **10 years** and **15%** for the **next 10 years**, whether selling domestically or internationally.



Useful Links / Sources



1. [Central Bank of Kenya](#)
2. [World Bank](#)
3. [IMF World Economic Outlook](#)
4. [Kenya Investment Authority](#)
5. [Kenya National Bureau of Statistics](#)